

Decision-making guide

Promotion and Segments

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1. Simulation platform introduction

1.1 Game Arena

The gaming arena interface comprises various decision tabs that includes memo, industry analysis, statements, thesis, investment, Decision Checklist, Report, and Synopsis. Some sections must be completed first as they have an impact on other areas.

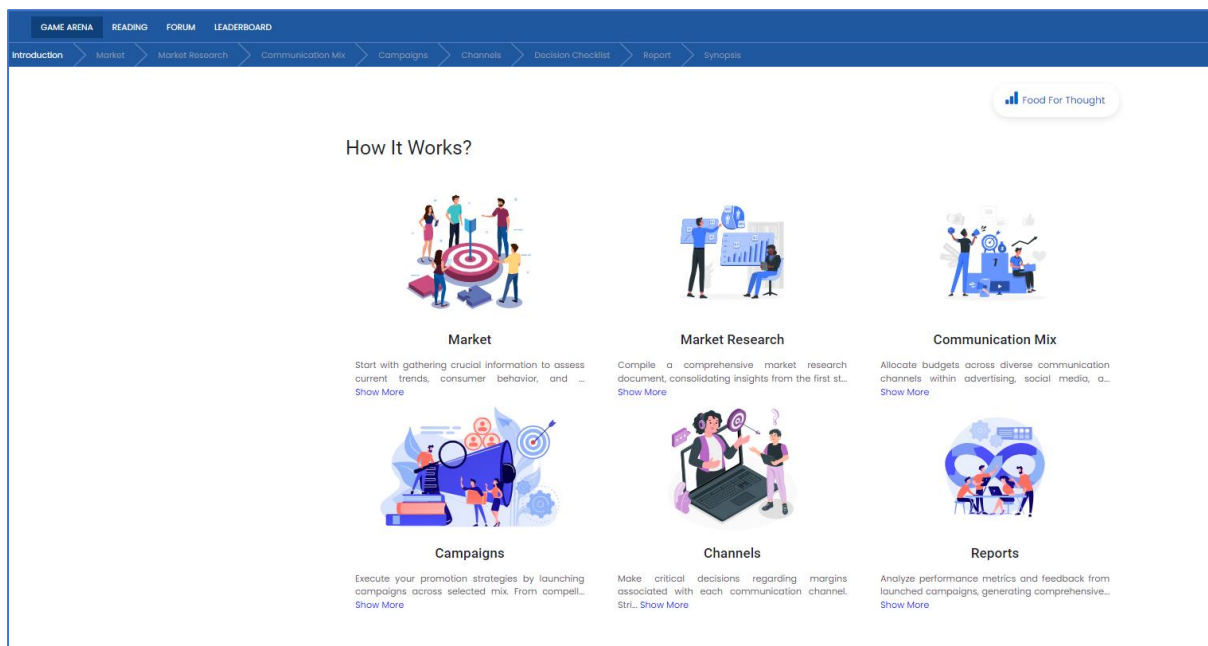


Figure 1 The Game arena

1.2 Readings

This section provides essential materials necessary for participants to actively engage in the game. The main reading material consists of a guide for decision-making, supplemented by optional additional resources chosen by instructors. Moreover, a walkthrough video is accessible, offering in-depth information about the scenario featured in the simulation. This video presents insights into the industry, ongoing trends, obstacles, and the diverse array of decisions required.

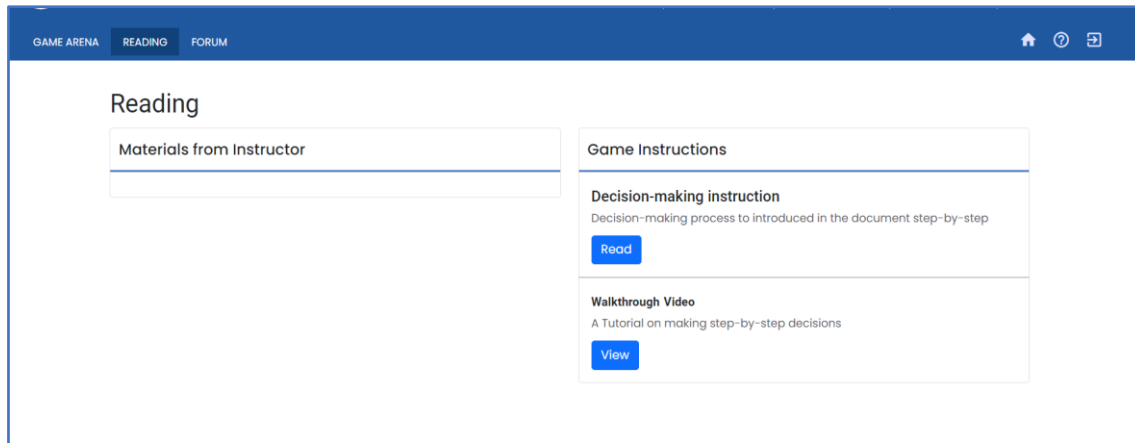


Figure 2 Reading Section in the platform

1.3 Forum

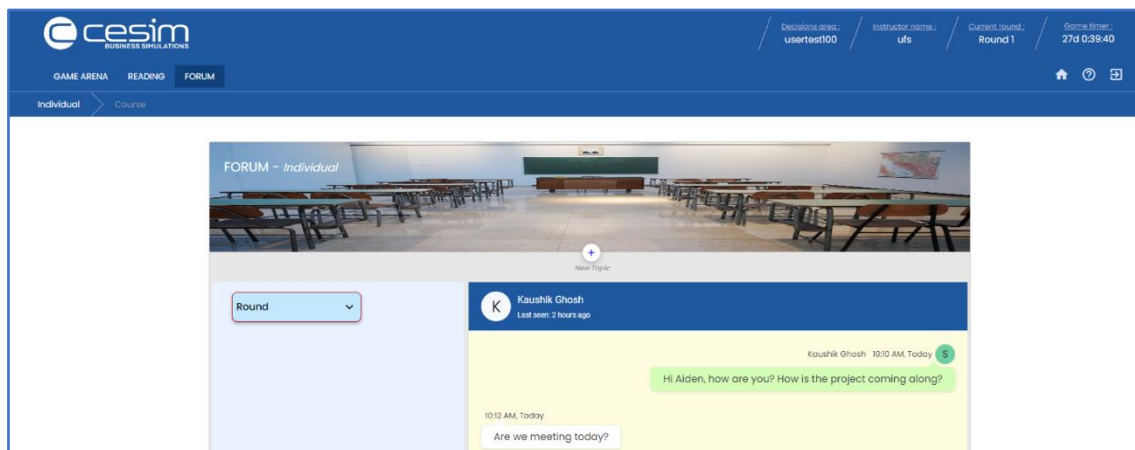


Figure 3 Forum Section in the platform

- The forums provide an excellent platform for participants to engage with their instructors or peers.
- There are two separate forums: the Individual Forum and the Course Forum. The Individual Forum allows participants to communicate directly with the instructor, while the Course Forum is accessible to all enrolled players.
- Instructors can view and respond to posts in both sections. Consequently, the Course Forum is an appropriate space for asking questions that can benefit the entire course, while the Individual Forum is the preferred channel for the individual to have a direct discussion with the professor.
- Participants will receive notifications for messages.

1.4 Main Objective & Winning Criteria

As a promotion strategist the company, the participant is tasked with thoroughly evaluating and testing campaigns to predict their effectiveness, understanding how various media channels interact, and recognizing the significance of consumer insights for positioning the products. Success in the simulation relies on participants' skilful execution of effective promotional strategies for their businesses. This includes positioning products for the target audience by utilizing data analysis, allocating funds efficiently, and understanding the significance of channel relationships and their impact on a business thus improving the KPI such as operating margin and return on advertising spent.

1.5 Successful decision-making flow

The sequence of decision-making unfolds as follows:

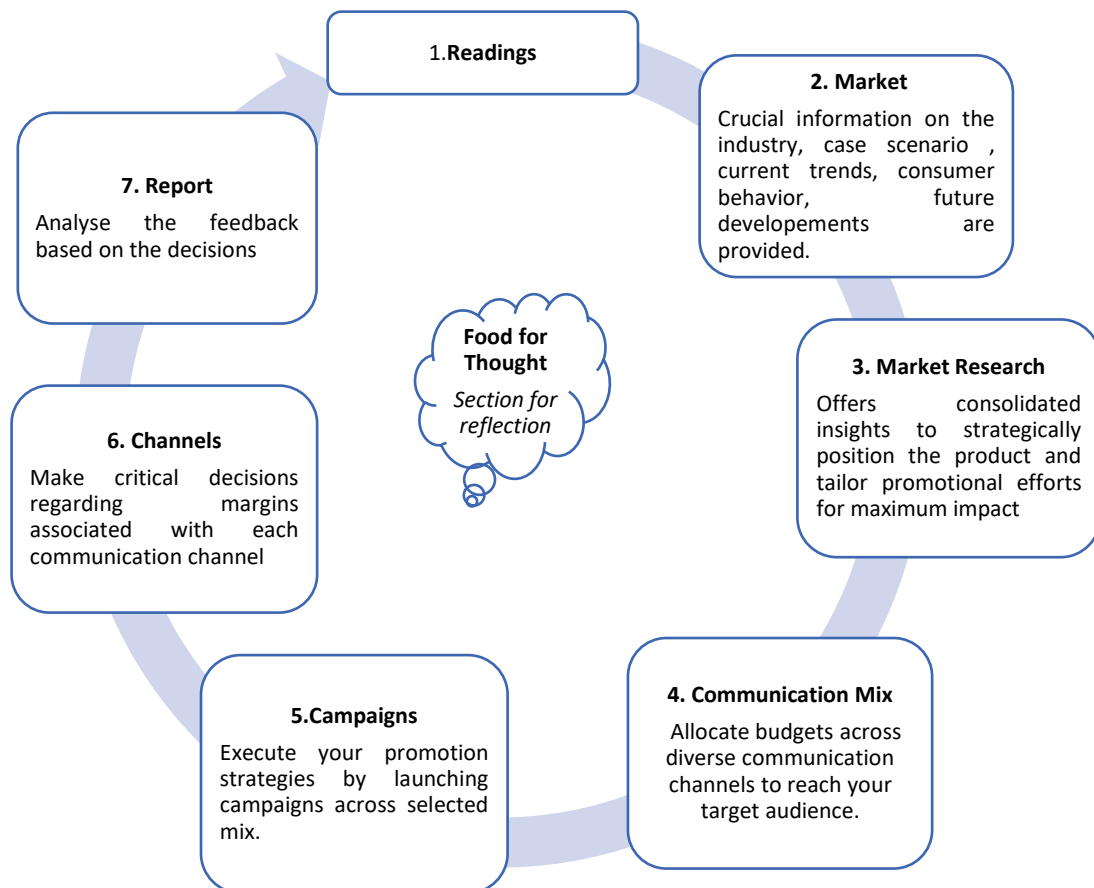


Figure 4 The sequence of decision making

2. Game Arena

2.1 Introduction

This page encompasses information detailing the functioning of the simulation and provides insights into each tab's decision-making.

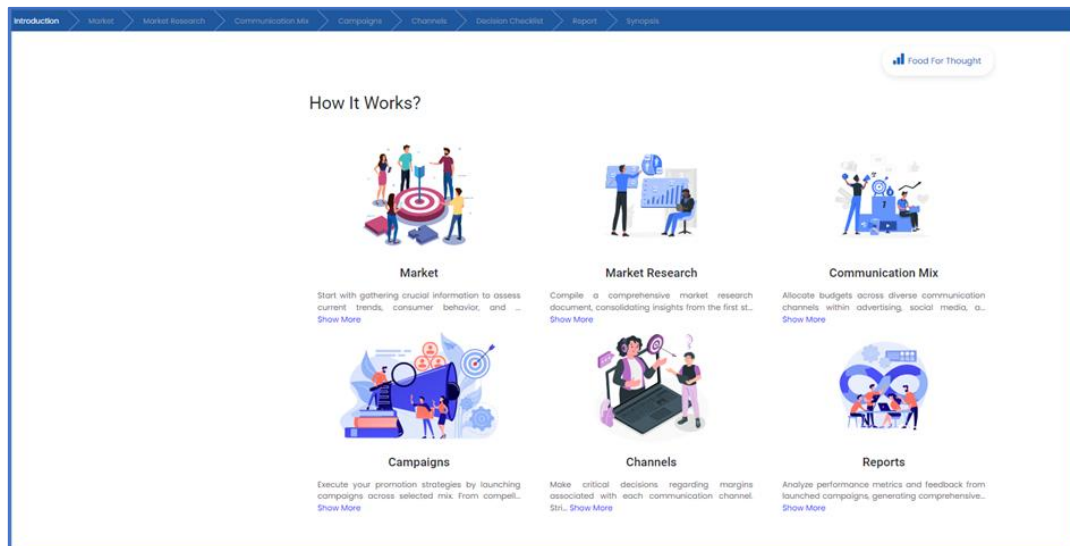


Figure 5 The Introduction Tab

2.2 Food for Thought

This segment provides crucial aspects to consider, offering valuable insights for decision-making.

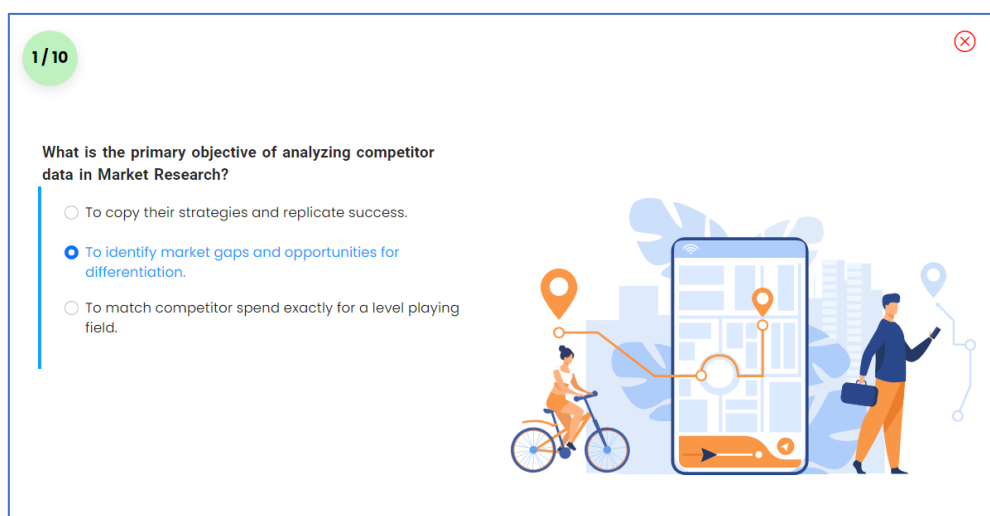


Figure 6 The food for thought Section in the simulation

2.3 Market

Prior to commencing the decision-making process, it is essential to carefully examine the "Market" section. This section offers vital information on case scenario, industry overview and the key parameters to consider when making decisions in each tab.

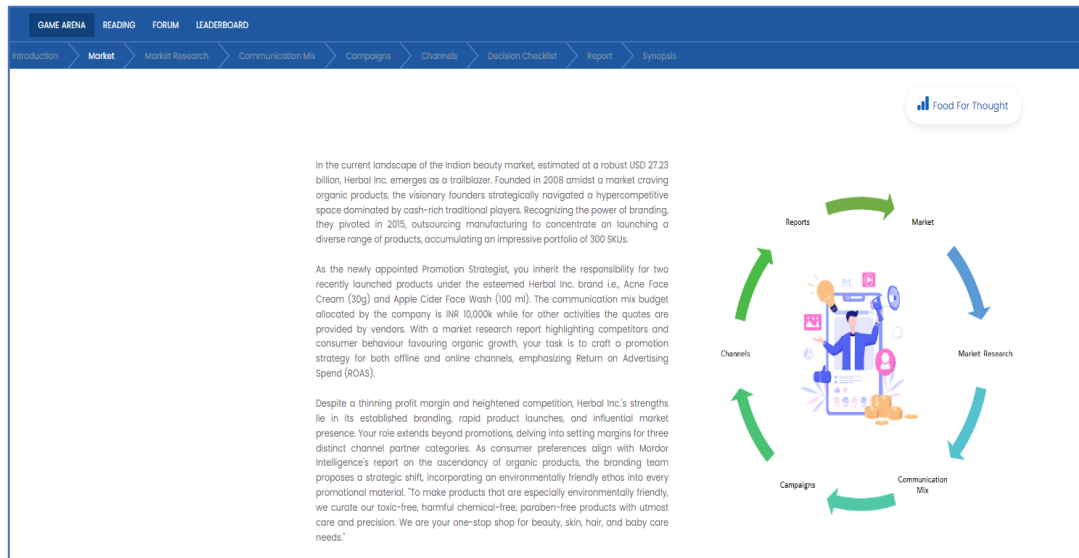


Figure 7 The Market Tab

2.4 Market Research

The market research tab serves as a comprehensive repository of critical insights into market dynamics, competitor analysis, and spending patterns. It provides valuable perspectives on competitors' strategies, achievements, and the comparative standing of our company within the industry.

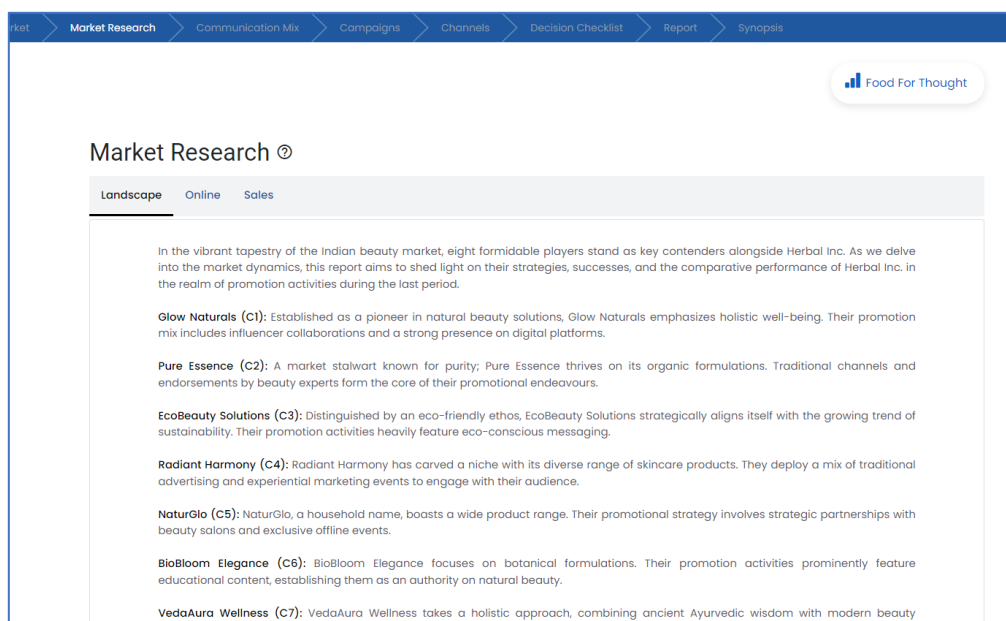


Figure 8 The Market Research Tab in the Platform

The Market Research tab is organized into three sections:

1. **Landscape:** This section furnishes detailed information about the key players in the industry, delivering a thorough overview of the competitive landscape.

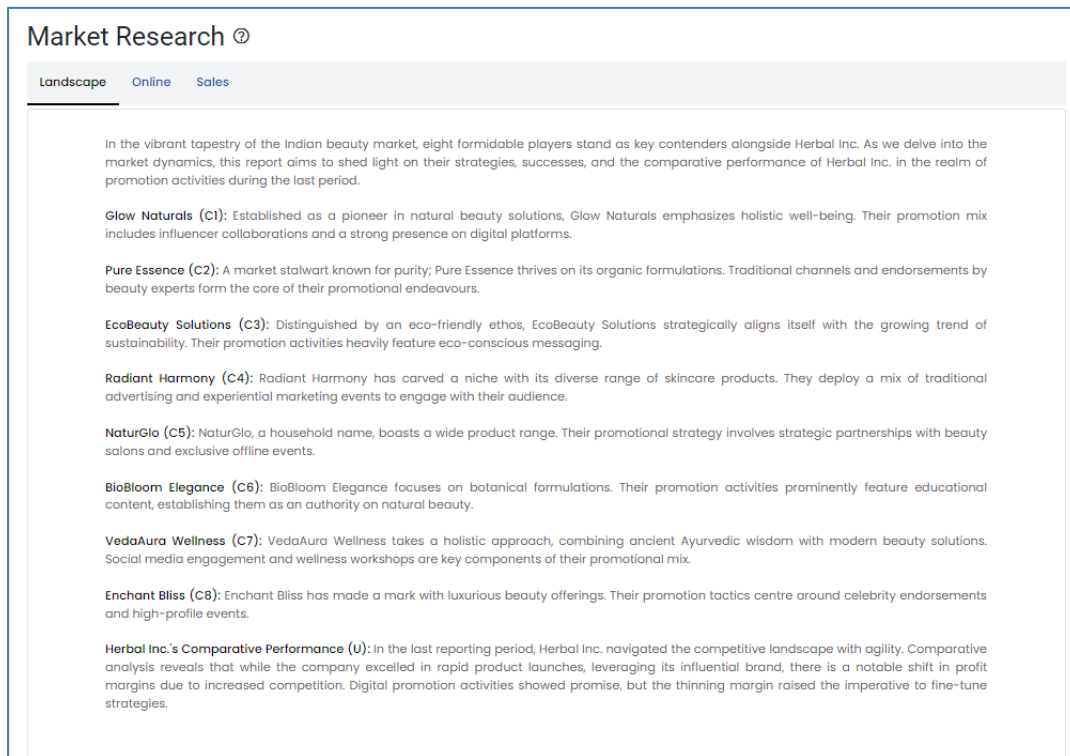


Figure 9 The landscape tab under the Market Research

2. **Online:** Here, a deep dive is conducted into the digital marketing strategies employed by each company to attract customers. Insights encompass various avenues such as Google ads, email marketing, and social media subscriptions.



Figure 10 The information on online promotion provided under the Market Research

- Sales: The sales tab offers intricate details on sales processes, including mediums through which sales occur and performance metrics. Sales data encompasses platform sales, segment sales, and the number of units sold for each product across different companies in the market. Additionally, it provides pricing information for products sold through different channels, categorized into:

- Website (company & partners)
- Social media
- Modern Trade
- Retailers

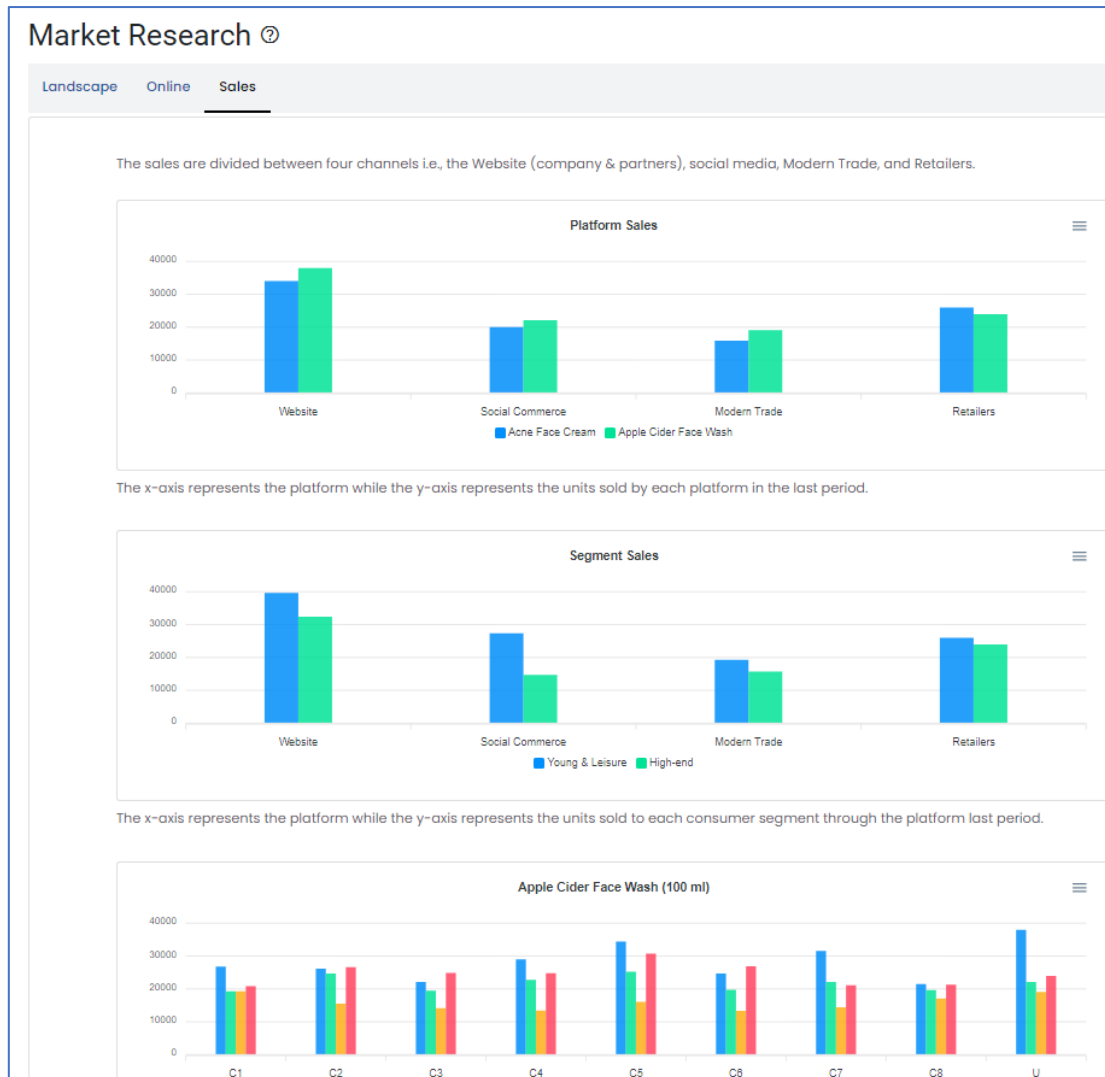


Figure 11 The sales information available under the Market Research

2.5 Communication Mix

a. Platform Budgeting

In this section, participants are tasked with strategically allocating budget percentages across different platforms, including Google - Email – Website, Social Commerce, Modern Trade, and Retailers. Each platform offers distinct benefits and targets specific audience segments.

The goal is to maximize reach and engagement while considering factors such as costs, potential returns, and audience preferences. Participants must carefully assess these aspects to determine the optimal allocation that ensures effective utilization of resources and achieves the desired outcomes.

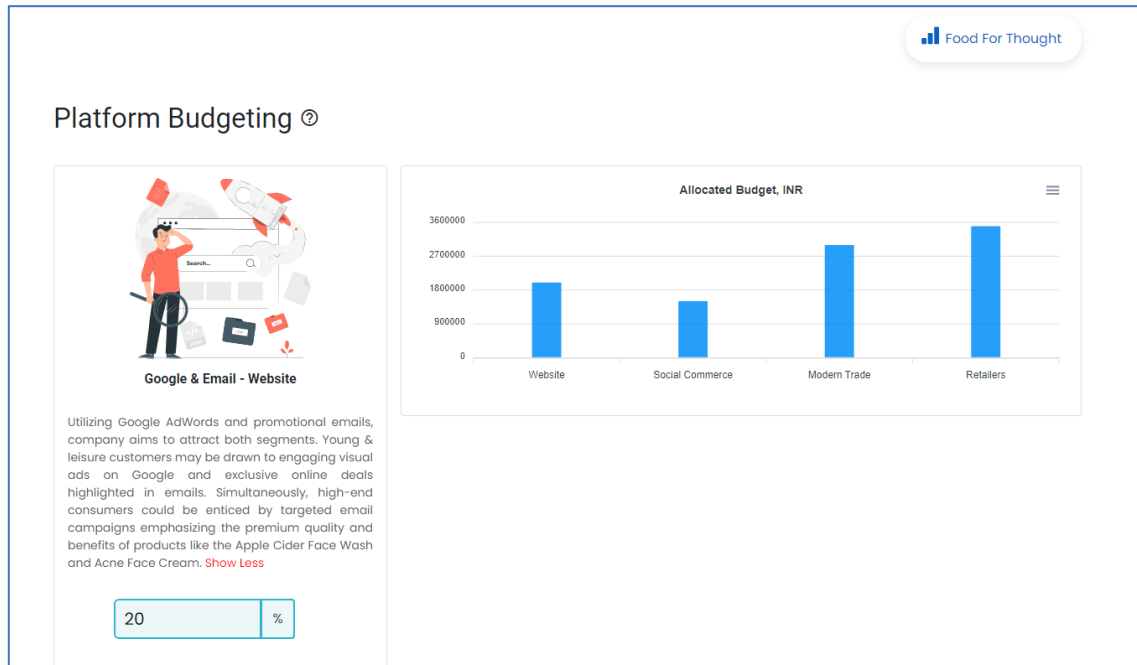


Figure 12 The platform Budgeting Decision Area and allocated budget Graph in the Platform

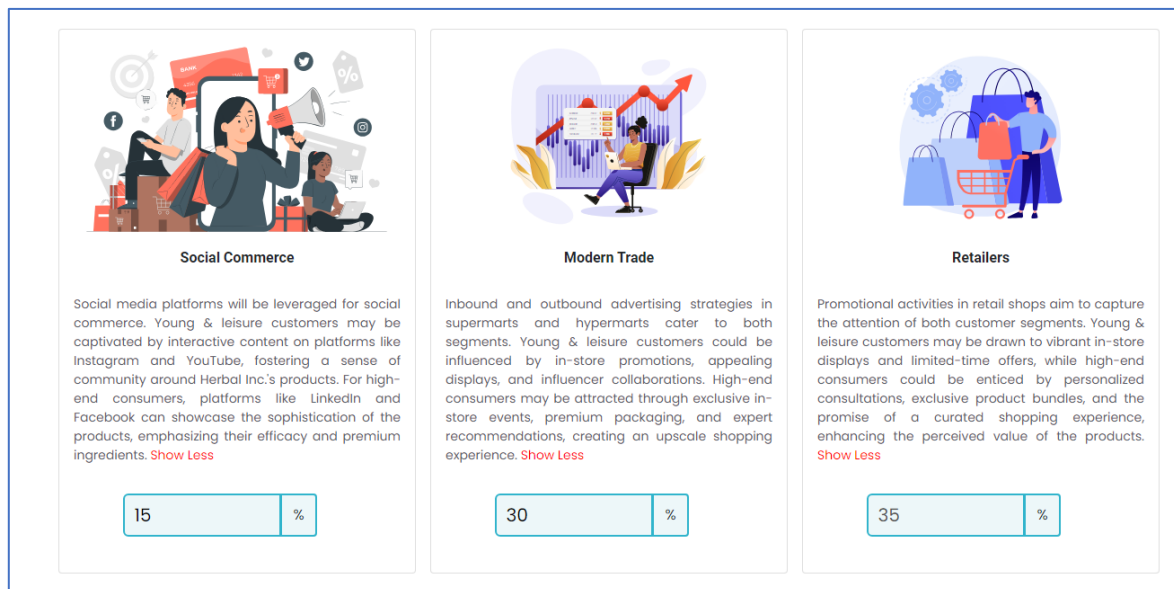


Figure 13 The platform Budgeting Decision Area in the Platform

b. Social Commerce Budgeting

In this section, participants are tasked with determining the budget allocation for different social media platforms, including Facebook, Instagram, Twitter, LinkedIn, and YouTube. When making this decision, participants must consider how each of these platforms contributes to marketing goals and strategize the optimal budget distribution to maximize returns and audience engagement.

 Facebook For both Young & leisure customers and high-end consumers, Facebook promotions will focus ... Show More 10	 Instagram Instagram's visually-driven platform is ideal for targeting Young & leisure customers. The... Show More 40	 Twitter (X) The company will utilize it for quick updates and engaging content suitable for Young & le... Show More 5
 LinkedIn LinkedIn will be employed for targeting high-end consumers seeking sophisticated skincare ... Show More 15	 YouTube For both Young & leisure customers and high-end consumers, YouTube will serve as a dynamic... Show More 30	

Figure 14 The Social Commerce Budgeting Decision Area in the Platform

2.6 Campaigns

The participant has to decide on the most suitable campaign tailored to the target audience, focusing on boosting engagement and conversion rates.

a. Website

In this section, participants are presented with a selection of campaigns including exclusive online deals, premium efficacy showcase, and seasonal skincare bundles.

Detailed descriptions of each campaign are provided within the platform. Participants must carefully assess which campaign best aligns with their audience, taking into consideration factors such as campaign cost, engagement rate, conversion rate, click-through rate, and other relevant metrics.

Website 

 Exclusive Online Deals Engagement Rate: 3% to 6% Conversion Rate: 2% to 4% Click-Through Rate (CTR): 4% to 8% Average Order Value (AOV): Rs. 400 to Rs 600 Google AdWords and targeted email campaigns will spotlight exclusive online deals on the company's website, enticing Young & leisure customers with budget-friendly options. Ad copies will highlight limited-time discounts on bundles containing the Apple Cider Face Wash and Acne Face Cream, strategically impacting impulse purchases and driving online sales. Show Less Cost, INR 500000	 Premium Efficacy Showcase Engagement Rate: 2.5% to 5% Conversion Rate: 1.5% to 3% Click-Through Rate (CTR): 3% to 6% Average Time Spent on Page: 1.5 to 3 minutes Through Google AdWords and email newsletters, Herbal Inc. will run a campaign highlighting the premium efficacy of the Apple Cider Face Wash and Acne Face Cream. Ad copies will emphasize the high-end ingredients, advanced formulations, and proven results, directly appealing to the discerning taste of the high-end consumer segment. Show Less Cost, INR 600000	 Seasonal Skincare Bundles Engagement Rate: 3% to 7% Conversion Rate: 2.5% to 5% Click-Through Rate (CTR): 5% to 9% Percentage of Bundle Sales: 20% to 35% Google AdWords and email promotions will introduce limited-edition seasonal skincare bundles, combining the Apple Cider Face Wash and Acne Face Cream with complementary products. This campaign targets both consumer segments, offering Young & leisure customers a curated skincare routine at an attractive price point and providing high-end consumers with an exclusive, luxury skincare experience. Show Less Cost, INR 800000
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Figure 15 The website campaigns decision area in the platform

b. Social Commerce

In the social commerce section, participants are offered a variety of campaigns including community engagement series, flash sales and trending topics, visual storytelling, and influencer collaborations, among others. Each campaign is described in detail within the platform. Participants are tasked with evaluating which campaign is most suitable for their audience, considering factors such as campaign cost, engagement rate, conversion rate, click-through rate, and other pertinent metrics.



Community Engagement Series

Engagement Rate: 4% to 8%
Conversion Rate: 2.5% to 5%
Click-Through Rate (CTR): 6% to 10%
Live Session Viewership: 500 to 1,000 participants per session

The company initiates a community engagement series on Facebook, focusing on the benefits of the Apple Cider Face Wash and Acne Face Cream. Live Q&A sessions with skincare experts, user testimonials, and behind-the-scenes glimpses will encourage Young & leisure customers to interact with the brand. High-end consumers will appreciate the transparency and expertise showcased in the content. [Show Less](#)

Cost, INR 180000



Flash Sales and Trending Topics

Engagement Rate: 3.5% to 7%
Conversion Rate: 2% to 4%
Click-Through Rate (CTR): 5% to 9%
Flash Sale Participation: 300 to 500 participants per sale

On Twitter (X), Herbal Inc. executes flash sales linked to trending beauty topics, capturing the attention of Young & leisure customers who actively seek real-time content. The platform's quick-paced nature is utilized to announce limited-time offers and promote product awareness. High-end consumers benefit from concise updates and exclusive flash sales, aligning with their desire for curated content. [Show Less](#)

Cost, INR 200000



Visual Storytelling and Influencer Collaborations

Engagement Rate: 5% to 9%
Conversion Rate: 2.5% to 5%
Click-Through Rate (CTR): 7% to 11%
Influencer Collaboration Impact: 20% to 30% increase in product mentions

Instagram becomes a visual storytelling hub for Herbal Inc. Dynamic content, including visually appealing product shots, user-generated content, and collaborations with beauty influencers, caters to both Young & leisure customers and high-end consumers. The platform's aesthetics reinforce the brand's commitment to natural beauty. [Show Less](#)

Cost, INR 250000

Figure 16 The Social commerce decision area in the platform

c. Modern Trades

The participants are tasked with choosing the campaign that best aligns with their goals and audience aimed at boosting visibility and sales. Each campaign presents distinct benefits, leading to different cost, conversation and engagement rates. Some campaigns aim to attract more customers through interactive shopping experiences, while others offer limited exclusive collections or focus on improving brand loyalty by introducing loyalty programs.



In-Store Skincare Workshops

Engagement Rate: 4% to 7%
Conversion Rate: 2.5% to 5%
Workshop Attendance: 100 to 150 participants per session
Customer Feedback Participation: 30% to 40%

Implement skincare workshops in modern trade settings, providing educational sessions on the benefits of the Apple Cider Face Wash and Acne Face Cream. Targeting both Young & leisure customers and high-end consumers, these workshops create an interactive shopping experience. Young & leisure customers benefit from hands-on learning, while high-end consumers appreciate the expert insights and personalized advice. [Show Less](#)

Cost, INR 750000



Limited-Edition In-Store Bundles

Engagement Rate: 3.5% to 6%
Conversion Rate: 2% to 4%
Percentage of Bundle Sales: 15% to 25%
In-Store Exclusive Offer Redemption: 200 to 300 redemptions

Launch limited-edition bundles exclusive to modern trade outlets, combining the Apple Cider Face Wash and Acne Face Cream with complementary products. Young & leisure customers are drawn to the value, while high-end consumers appreciate the curated selections and exclusive offerings available only in-store. [Show Less](#)

Cost, INR 500000



Loyalty Points Bonanza

Engagement Rate: 4% to 7%
Conversion Rate: 2.5% to 5%
Loyalty Sign-Up Rate: 20% to 30%
Redemption Rate: 10% to 15%

Introduce a loyalty points program tied to purchases of Herbal Inc. products in modern trade. This campaign appeals to both consumer segments, with Young & leisure customers enticed by the prospect of redeemable rewards and high-end consumers appreciating the added value and recognition for their premium purchases. [Show Less](#)

Cost, INR 550000

Figure 17 Modern Trades Campaign decision area in the platform

d. Retailers

In this section, participants are assigned the responsibility of choosing campaigns tailored for retailers. Key considerations for selecting the campaign include its alignment with the customer base and its potential to enhance partnerships between the company and retailers. Additionally, participants should factor in engagement, conversion rate, and other metrics provided within the platform to make an informed decision.

Retailers ⓘ

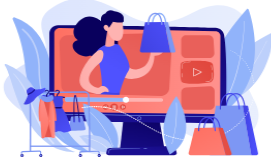
 In-Store Pop-Up Events Engagement Rate: 3.5% to 6% Conversion Rate: 2% to 4% Event Attendee Participation: 120 to 200 participants per event Coupon Redemption Rate: 10% to 15% Organize in-store pop-up events in collaboration with retailers, offering product demonstrations, free samples, and exclusive discounts. This campaign caters to both Young & leisure customers and high-end consumers, providing a tangible and engaging brand experience. Young & leisure customers are drawn to the interactive elements, while high-end consumers appreciate the exclusivity of in-store events. Show Less Cost, INR 700000	 Shelf-Edge Informational Displays Engagement Rate: 3% to 5.5% Conversion Rate: 1.5% to 3% Time Spent Interacting with Displays: 2 to 3.5 minutes Purchase Decision Impact: 25% to 35% Implement informational displays at retailer shelves, providing detailed insights into the natural ingredients, benefits, and usage of the Apple Cider Face Wash and Acne Face Cream. Both consumer segments benefit from the informative content, aiding purchase decisions for Young & leisure customers and reinforcing the premium quality for high-end consumers. Show Less Cost, INR 650000	 Retailer Exclusive Promotions Engagement Rate: 3% to 6% Conversion Rate: 2% to 4% Redemption Rate of Exclusive Offers: 12% to 18% Average Basket Size Increase: 10% to 20% Collaborate with retailers to launch exclusive promotions, such as bundled offers, discounts, or gifts with purchase. Targeting both Young & leisure customers and high-end consumers, this campaign adds value to the shopping experience. Young & leisure customers are enticed by cost-effective bundles, while high-end consumers appreciate the exclusive deals that align with their premium preferences. Show Less Cost, INR 800000
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Figure 18 The campaigns for Retailers in the platform

2.7 Channels

a. Margin

In this section, participants are tasked with determining the appropriate margins to offer for each of the three channels such as online, modern trade, and retail. Margins play a critical role across these channels, sustaining e-commerce platforms and supporting marketing efforts on various social media platforms.

Modern trade, comprising large supermarket chains and hypermarkets, relies on margins to cover operational costs, shelf space fees, and promotional activities. Similarly, independent retailers, such as small shops or specialty stores, depend on margins to sustain their businesses. It is essential to provide retailers with reasonable margins to incentivize them to stock and actively promote products.

When adjusting margins, participants must consider striking the optimal balance between profitability and competitiveness on each channel, aiming for a win-win situation for both the company and its channel partners. Additionally, they should contemplate whether the set margins adversely affect the perceived value of the products.

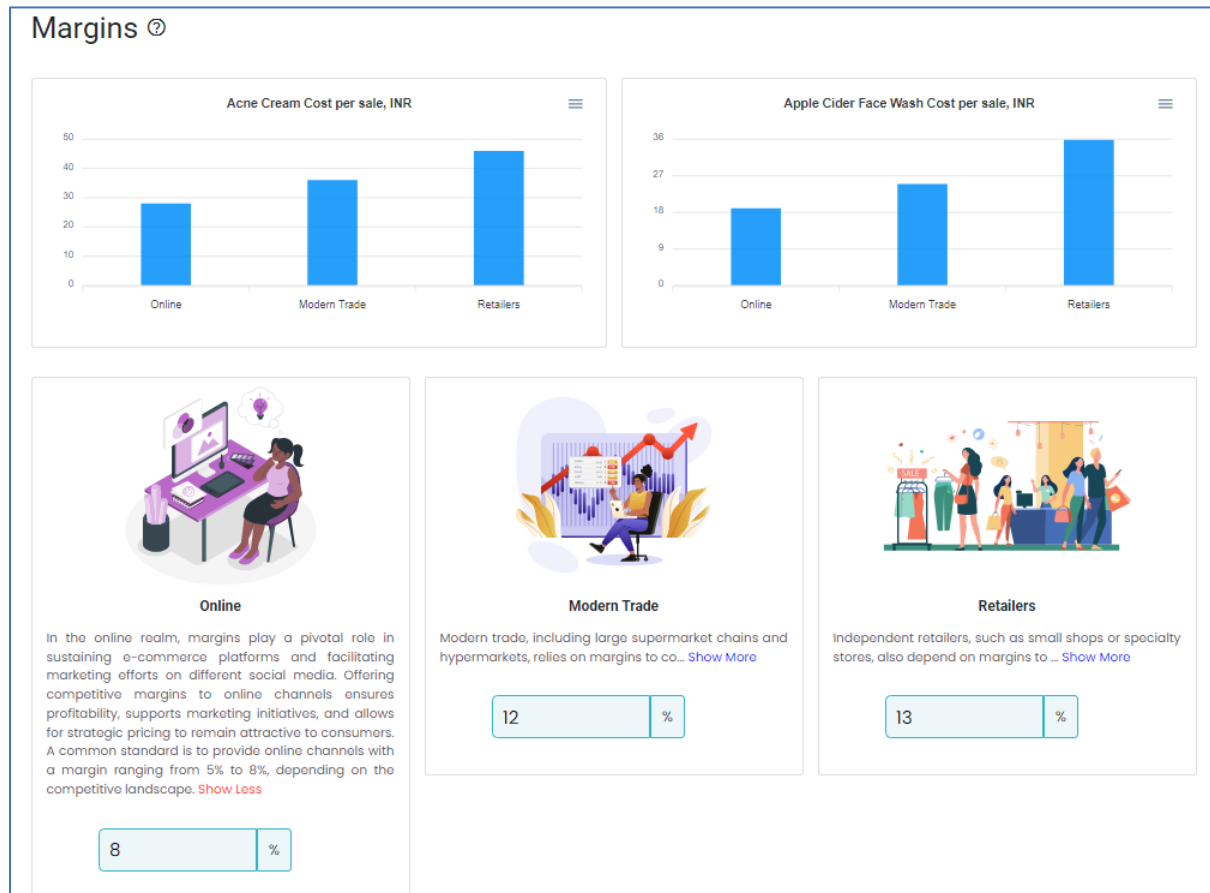


Figure 19 The channel's margin decision area in the platform

b. A/B Testing

In this section, participants are provided with the chance to conduct A/B Testing to determine the most suitable platforms for reaching the target audience and where A/B testing can significantly impact the improvement of Key Performance Indicators (KPIs). A/B testing involves comparing two versions (A and B) of a webpage, app, or marketing campaign to determine which one performs better. It allows participants to make data-driven decisions regarding platform selection and optimization strategies.

A/B Testing ⓘ



Website

Variations in website design, AdWords ad copies, and email content will be tested to identify which elements yield the highest engagement, click-through rates, and conversions. By analyzing user behavior and response to different versions, insights will be gained on the most effective website layout, ad messaging, and email content. This optimization will lead to improved user experience and increased conversion rates. [Show Less](#)

Cost, INR 800,000



Social Commerce

Variations in content types (e.g., images, videos, influencer collaborations) and posting schedules will be tested across different social media platforms to determine the most engaging and converting strategies. The testing will unveil the content and posting strategies that resonate most with the target audience, driving higher engagement and conversions on social commerce platforms. [Show Less](#)

Cost, INR 640,000



Modern Trade & Retailers

In-store promotional displays, loyalty programs, and limited-time offers will be varied to assess their impact on customer engagement and sales. In offline channels it will help identify the most effective in-store strategies for both Modern Trade and Retailers. Insights gained can guide future campaigns, optimizing resources for maximum impact. [Show Less](#)

Cost, INR 720,000

Figure 20 A/B Testing decision area in the platform

c. Product Focus

In this section, participants must strategically determine which product or products to position in the market. When selecting the product focus, participants should consider which products contribute most effectively to achieving the company's long-term goals, while also aligning with current market trends and consumer preferences.

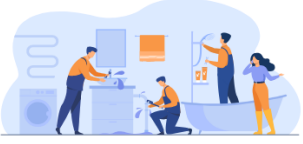
Product Focus ⓘ



Acne Face Cream

The Acne Face Cream, on the other hand, is a specialized solution designed for targeted skincare. Despite having slightly lower volume sales in the last period, it stands out for its higher margins, offering a lucrative opportunity for profit maximization. The cream's premium quality, coupled with its efficacy in addressing specific skincare needs, positions it as a valuable choice for discerning consumers. Choosing to focus on the Acne Face Cream allows for a strategic emphasis on profitability and appeals to a niche market seeking specialized skincare solutions. [Show Less](#)

Gross Margin 55%



Apple Cider Face Wash

The Apple Cider Face Wash is a powerhouse of natural ingredients meticulously curated to cleanse, purify, and rejuvenate the skin. Last period saw remarkable volume sales, with its gentle yet effective formula resonating well with a wide consumer base. Its popularity is attributed to its refreshing fragrance, natural composition, and the promise of a radiant, blemish-free complexion. Focusing on the Apple Cider Face Wash could tap into the momentum of its existing popularity and cater to the broader market segment, ensuring a steady stream of sales. [Show Less](#)

Gross Margin 45%

Figure 21 Product focus decision area in the Platform

2.8 Decision checklist

The Decision Checklist helps participants review and adjust their decisions before the deadline. Once decisions are finalized, participants can submit them using the Submit option if they choose to proceed with the Decision Checklist.

Decision Checklist

Round 1

user@test18

Communication Mix	
Website, Budgeting	30%
Social Commerce, Budgeting	20%
Modern Trade, Budgeting	20%
Retailers, Budgeting	30%
Facebook, Budgeting	30%
Instagram, Budgeting	20%
Twitter, Budgeting	30%
LinkedIn, Budgeting	10%
YouTube, Budgeting	10%
Campaigns	
Website	Exclusive Online Deals
Social Commerce, Community Engagement Series	Yes
Social Commerce, Flash Sales and Trending Topics	Yes
Social Commerce, Visual Storytelling and Influencer Collaborations	Yes
Social Commerce, Expert Insights and Premium Skincare Journey	Yes
Social Commerce, Tutorial Series and Influencer Reviews	Yes
Modern Trade	Limited-Edition In-Store Bundles
Retailers	In-Store Pop-Up Events
Channels	
Website, A/B Testing	No
Social Commerce, A/B Testing	Yes
Modern Trade & Retailers, A/B Testing	Yes
Online Channel, Margin	20%
Modern Trade Channel, Margin	15%
Retailers Channel, Margin	22%
Product Focus, Acne Face Cream	Yes
Product Focus, Apple Cider Face Wash	No

Submit

Figure 22 The decision checklist in the Platform

2.9 Report

- The report section provides the details on the participants' critical thinking abilities in each aspect. It demonstrates how their thought process influenced the outcomes, providing insights into the impact of their decision-making skills.

This section consists of feedback on the performance of the participant based on four metrics.

- Rigour:** Consistency throughout the decision-making and recommendation.
- Structuring:** Logical approach of gathering and analysing information
- Synthesis:** Approach towards interpreting information and making informed decisions
- Business Judgement:** Ability to evaluate facts, and consider risks and possible implications when making decisions.

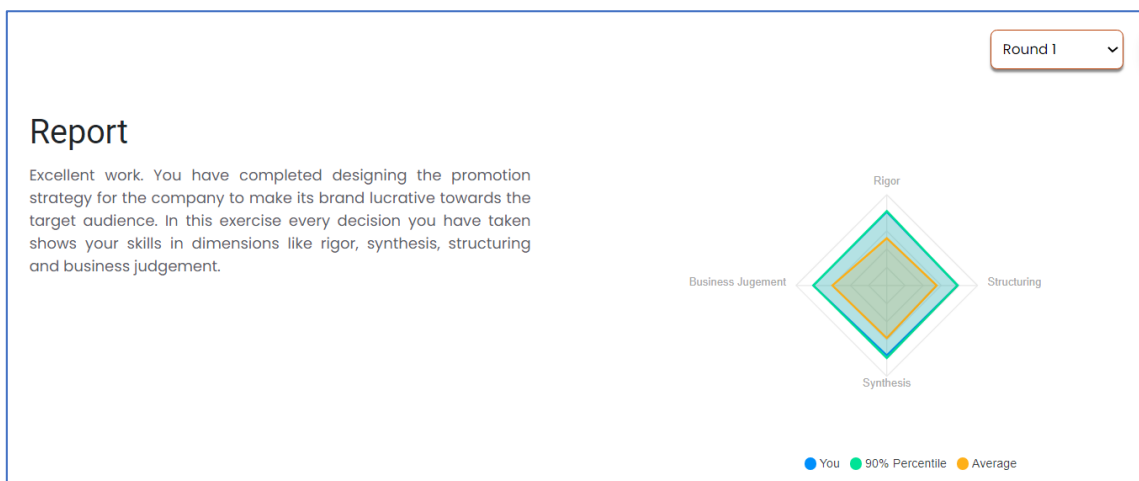


Figure 23 The report section

The report presents the scores attained based on the decisions made, showcasing product sales, segment sales, and platform sales across four platforms: website, social commerce, modern trade, and retailers. This data is provided for the two segments: young-leisure and high-end consumers, as well as for the individual products.

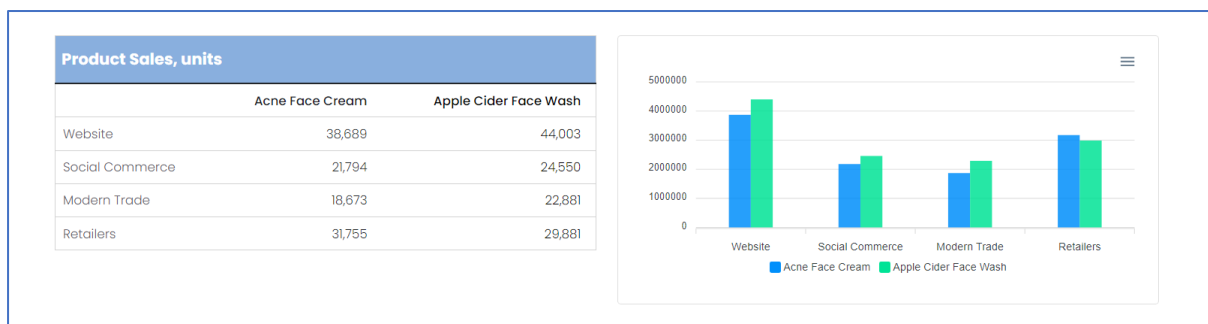


Figure 24 The report section in the platform

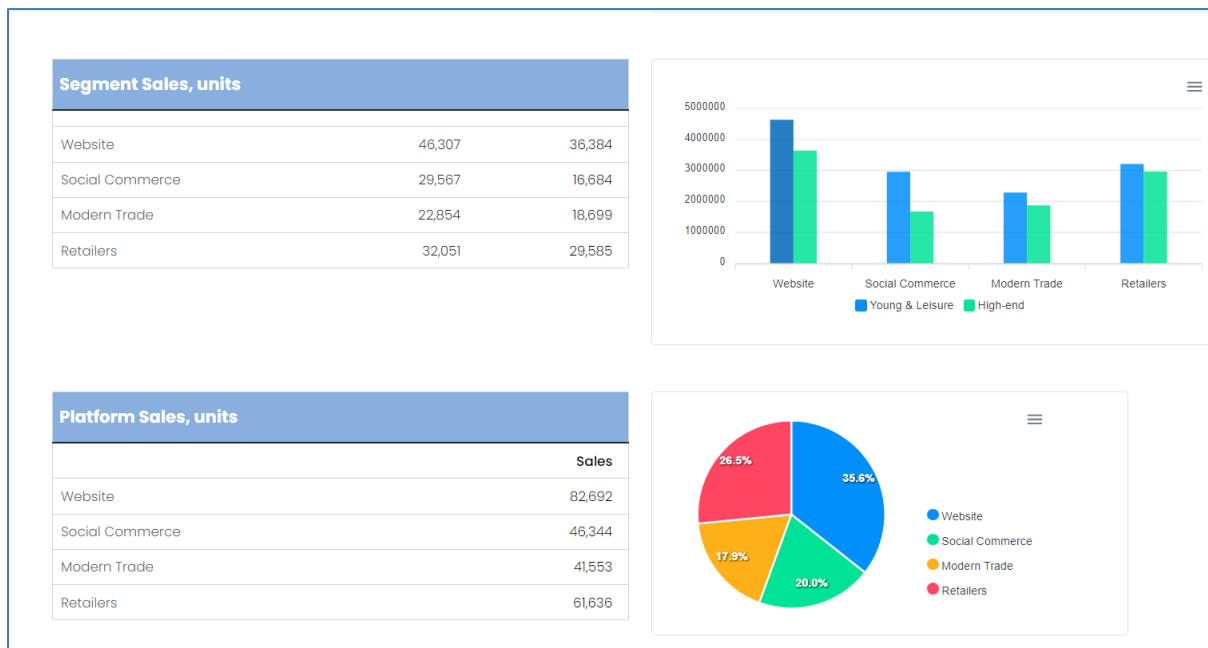


Figure 25 The report section in the Platform

The report section also provides details on the total promotion cost incurred for various activities, along with information on operating income. Participants can view the Key Performance Indicators (KPIs) they have achieved for the simulation, including Operating Margin and Return on Advertising Spend (ROAS). Operating Margin measures the profitability of a company by assessing the proportion of revenue left after covering operating expenses, while Return on Advertising Spend (ROAS) evaluates the effectiveness of advertising campaigns by comparing the revenue generated with the amount spent on advertising.

Promotion Cost, INR		Operating Income, INR	
Communication Mix Cost	10,000,000	Revenue	68,683,787
Campaign Creation Cost	3,030,000	Variable Cost	33,885,184
A/B Testing Cost	1,360,000	Gross Profit	34,798,602
Channel Cost	13,418,710	Promotion Cost	27,808,710
Total Cost	27,808,710	Operating Profit/Loss	6,989,892

KPI	
Operating Margin	10%
ROAS	35%

Figure 26 The report section that displays the KPI

2.10 Synopsis

The synopsis section provides a condensed overview of the key decision areas and outcomes, highlighting critical insights and strategic directions taken during the simulation. It offers participants a quick reference point to grasp the essence of their decisions and their impact on various aspects of the business, aiding in holistic understanding and future planning.

Round 1

XLS

Synopsis

Decisions		
Website, Budgeting		30%
Social Commerce, Budgeting		20%
Modern Trade, Budgeting		20%
Retailers, Budgeting		30%
Facebook, Budgeting		30%
Instagram, Budgeting		20%
Twitter, Budgeting		30%
LinkedIn, Budgeting		10%
YouTube, Budgeting		10%
Website	Exclusive Online Deals	
Social Commerce, Community Engagement Series	Yes	
Social Commerce, Flash Sales and Trending Topics	Yes	
Social Commerce, Visual Storytelling and Influencer Collaborations	Yes	
Social Commerce, Expert Insights and Premium Skincare Journey	Yes	
Social Commerce, Tutorial Series and Influencer Reviews	Yes	
Modern Trade	Limited-Edition In-Store Bundles	
Retailers	In-Store Pop-Up Events	
Website, A/B Testing	No	
Social Commerce, A/B Testing	Yes	
Modern Trade & Retailers, A/B Testing	Yes	
Online Channel, Margin		20%
Modern Trade Channel, Margin		15%
Retailers Channel, Margin		22%
Product Focus, Acne Face Cream	Yes	
Product Focus, Apple Cider Face Wash	No	

Product Sales, units		
	Acne Face Cream	Apple Cider Face Wash
Website	38,689	44,003
Social Commerce	21,794	24,550
Modern Trade	18,673	22,881
Retailers	31,755	29,881

Platform Sales, units	
Website	82,892
Social Commerce	46,344
Modern Trade	41,553
Retailers	81,636

Operating Income, INR	
Revenue	88,883,787
Variable Cost	33,885,184
Gross Profit	34,798,602
Promotion Cost	27,808,710
Operating Profit/Loss	6,989,892

Promotion Cost, INR	
Communication Mix Cost	10,000,000
Campaign Creation Cost	3,030,000
A/B Testing Cost	1,360,000
Channel Cost	13,418,710
Total Cost	27,808,710

KPI	
Operating Margin	10%
ROAS	25%

Thinking Ability	
Communication Mix, %	100
Campaigns, %	100
Campaigns, %	100

Segment Sales, units		
	Young & Leisure	High-end
Website	46,307	36,384
Social Commerce	29,567	16,684
Modern Trade	22,854	18,699
Retailers	32,051	29,585

Figure 27 The synopsis tab